

TE 452 / TE 462 - Policy & Regulation

Set 1: 54 past-paper questions + Set 2: 50 deck-based questions + Set 3: 40 mid-sem 2018 questions, all with answers and insights

Set 1 - Past paper (transcribed, Section A)

1. The factors that encouraged the monopoly paradigm in the telecommunication sector can be categorized as

- A. social, political and economic
- B. political and economic ✓**
- C. social and political
- D. social and economic
- E. None of the above

Answer: B. political and economic

Insight: The decks name exactly two factors behind the state-monopoly era: Economic (very high network cost + low demand → natural monopoly) and Political (governments kept control, treating telecoms like the state post office). 'Social' is not listed.

2. WTO aims at

- A. establishing rules for domestic trade
- B. restricting trade practices
- C. liberalising international trade ✓**
- D. encouraging entrepreneurs
- E. None of the above

Answer: C. liberalising international trade

Insight: The WTO 'regulates international trade', and its Basic Telecommunications Agreement opens telecom markets to competition and investment — i.e. it liberalises international (not domestic) trade.

3. Accounting separation enables regulators to examine whether a dominant operator is favouring its own retail business over its competitors.

- A. TRUE ✓**
- B. FALSE

Answer: A. TRUE

Insight: Accounting separation forces a vertically-integrated dominant operator to keep separate wholesale/retail accounts, so the regulator can see whether it is cross-subsidising or favouring its own retail arm over rivals. (Standard competition-safeguard concept.)

4. The following are instruments of regulation EXCEPT

- A. regulations
- B. resolutions
- C. decisions
- D. policies
- E. None of the above ✓**

Answer: E. None of the above

Insight: The decks list regulations, decisions, policies AND resolutions all as regulatory instruments ('regulations, decisions, orders, decrees, rules, policies, notices, resolutions'). Every option is an instrument, so none is the exception.

5. The availability of affordable communications services for all citizens on a personal basis is

- A. Universal Access
- B. Universal Achievement
- C. Universal Assess
- D. Universal Service ✓**
- E. None of the above

Answer: D. Universal Service

Insight: Universal Service = availability on an individual/personal (household) basis; Universal Access = a shared/community basis. 'Personal basis' → Universal Service. (Compare Q41.)

6. A license which sets out identical terms of operation for all businesses operating in a particular market segment can be referred to as (I) individual operator (II) class license (III) general authorisation

- A. I or II
- B. I or III
- C. II or III ✓**
- D. I, II or III
- E. None of the above

Answer: C. II or III

Insight: A class licence / general authorisation 'sets out identical terms of operation for all businesses operating in a particular market segment', so both II and III describe it.

7. The principles of good regulatory decision-making include all of the following EXCEPT

- A. Transparency
- B. Objectivism
- C. Professionalism
- D. All of the above
- E. None of the above ✓**

Answer: E. None of the above

Insight: The principles of good regulatory decision-making listed are Transparency, Objectivity, Professionalism, Efficiency and Independence — so all three options are genuine principles and none is the exception.

8. Which of the following is/are true about individuals in the Bottom of the Pyramid markets? (I) They are unable to spend significant sums of money. (II) They have often been considered commercially unviable by large companies.

- A. I only
- B. II only
- C. Both I and II ✓**
- D. None of the above

Answer: C. Both I and II

Insight: Bottom-of-the-Pyramid individuals have low individual purchasing power (can't spend large sums each) AND were historically judged commercially unviable by big firms — yet collectively form a huge market. Both statements are true. (Standard BoP concept.)

9. What type of rules are vulnerable to becoming dated or inappropriate in a fast-moving high technology industry?

- A. ex-parte
- B. ex-ante ✓**
- C. ex-post
- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: B. ex-ante

Insight: Ex-ante rules are fixed in advance, so in a fast-moving high-tech industry they quickly become dated or inappropriate. (ex ante = 'before certain issues arise'.)

10. Which of these sectors helps spread equitable, sustainable and affordable access to information and communication technologies (ICT)?

- A. ITU-R
- B. ITU-T
- C. ITU-D ✓**
- D. ITU-S
- E. None of the above

Answer: C. ITU-D

Insight: ITU-D (Development) 'helps spread equitable, sustainable and affordable access to information and

communication technologies (ICT).'

11. Which of the following is not one of the grounds on which a regulator's decision may be appealed?

- A. law
- B. procedure
- C. logic
- D. authority ✓**
- E. None of the above

Answer: D. authority

Insight: The deck lists the grounds of appeal as law (illegality), procedure (misadministration), logic (irrationality) and the substance of the action. 'Authority' is NOT among them, so it is the odd one out. Note: 'logic' IS a valid ground.

13. [stem reconstructed] The body responsible for the technical and economic regulation of the telecommunication sector (as distinct from policy-making) is

- A. The ministry in charge of the telecommunication sector
- B. The national telecommunication regulator ✓**
- C. Mobile network operators
- D. The courts of law
- E. The police

Answer: B. The national telecommunication regulator

Insight: Policy-making is the ministry's job; the technocratic, day-to-day regulation of the sector is done by the independent national regulator (the decks stress the regulator should be separate from the ministry). NB: this stem was cut off in the photo — if it actually asked about policy-making, the answer would be the ministry.

14. The mission of the UN specialized agency responsible for issues concerning information and communication technologies includes all of the following EXCEPT

- A. coordinating the shared global use of the radio spectrum
- B. promoting international cooperation in assigning satellite orbits
- C. working to improve telecommunication infrastructure in the developing world
- D. assisting in the development of technical standards
- E. None of the above ✓**

Answer: E. None of the above

Insight: The deck gives the ITU mission as exactly these four: shared use of the radio spectrum, satellite-orbit assignment, telecom infrastructure in the developing world, and worldwide technical standards. All four are included, so none is the exception.

15. Which of the following is FALSE about an industry with one monopoly firm?

- A. Higher prices are experienced
- B. Supply is low
- C. Production is inefficient
- D. Inferior goods are produced ✓**
- E. None of the above

Answer: D. Inferior goods are produced

Insight: The deck says a monopoly causes exactly three harms: lower output (low supply), higher price, and less-efficient/higher-cost production. 'Inferior goods are produced' is not one of them — so it is the false statement.

16. The area within the Access Model which captures population and geographical areas which are still unserved, but in which services would be profitable, is referred to as the

- A. True Access Gap
- B. Current Network Reach and Access
- C. Smart Subsidy Zone
- D. Market Efficiency Gap ✓**
- E. None of the above

Answer: D. Market Efficiency Gap

Insight: In the access-gap model the Market Efficiency Gap is the area that is commercially viable (would be profitable) but not yet served — closeable by market reforms rather than subsidy.

17. By concentrating action on proven grievances rather than on compliance with finely detailed rules, _____ regulation is potentially efficient.

- A. ex-parte
- B. ex-ante
- C. ex-post ✓**
- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: C. ex-post

Insight: Ex-post regulation acts on proven grievances after the fact instead of via finely detailed pre-set rules; the deck notes 'intrusion can be lessened by the use of ex-post rules.'

18. The area within the Access Model in which services cannot be provided profitably is referred to as

- A. True Access Gap ✓**
- B. Current Network Reach and Access
- C. Smart Subsidy Zone
- D. Market Efficiency Gap
- E. None of the above

Answer: A. True Access Gap

Insight: The True Access Gap is the area where service cannot be provided profitably at all — it needs subsidy / universal-access funding, unlike the Market Efficiency Gap.

19. All the following are basic forms of regulation, EXCEPT

- A. Technical standardisation
- B. Public policy regulation
- C. Competition regulation
- D. Consumer protection regulation ✓**
- E. None of the above

Answer: D. Consumer protection regulation

Insight: Regulation takes three basic forms: technical standardisation, public policy regulation and competition regulation. Consumer-protection regulation is not one of these three, so it is the exception.

22. [stem reconstructed] Which of these sectors manages the international radio-frequency spectrum and satellite orbit resources?

- A. ITU-R ✓**
- B. ITU-T
- C. ITU-D
- D. ITU-S
- E. None of the above

Answer: A. ITU-R

Insight: ITU-R (Radiocommunication) 'manages the international radio-frequency spectrum and satellite orbit resources.' (Stem was cut off in the photo, but the options fix it.)

23. An increase in price will cause a supply curve to shift to the left.

- A. TRUE
- B. FALSE ✓**

Answer: B. FALSE

Insight: A price change causes a movement ALONG the supply curve, not a shift. The curve only shifts when input prices, technology, expectations or the number of sellers change — so this is FALSE.

24. Licences may be issued to achieve all of the following objectives EXCEPT

- A. To regulate the provision of an essential public service
- B. To encourage privatization
- C. To allocate scarce resources
- D. To generate revenue for government
- E. None of the above ✓**

Answer: E. None of the above

Insight: Every option is a listed licensing objective — provision of an essential public service, privatization/ commercialization, allocation of scarce resources, and generating government revenue. So none is the exception.

25. Supply is the quantity of a good sellers wish to sell each time the market opens.

- A. TRUE
- B. FALSE ✓**

Answer: B. FALSE

Insight: FALSE. Supply is the whole price–quantity relationship (the supply schedule / curve), not a single fixed amount. The deck calls the amount sellers will sell at a given price the 'quantity supplied'; describing supply as one quantity 'each time the market opens' is inaccurate. (The 2018 mid-sem answer key marks this FALSE.)

26. The role of regulators changes as markets become more competitive.

- A. TRUE ✓**
- B. FALSE

Answer: A. TRUE

Insight: TRUE — as competition develops the regulator's role shifts (lighter-touch / more ex-post competition oversight); a regulator picks among zero/self/co/formal styles by what is appropriate.

27. What type of rule is referred to as 'common sense' regulation?

- A. ex-parte
- B. ex-ante
- C. ex-post ✓**
- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: C. ex-post

Insight: Inferred: 'common-sense' regulation best fits ex-post — general principles applied with judgment after the fact, rather than detailed rules set in advance. NB: the phrase is not used verbatim in the provided decks, so confirm with your lecturer.

28. Which of the following types of licences simplify regulation?

- A. Individual operator licences
- B. Class licences ✓**
- C. Intermediate licences
- D. Consultative licences
- E. None of the above

Answer: B. Class licences

Insight: Class licences (general authorisations) 'simplify regulation, help ensure a level playing field, and are more flexible' — the deck's exact wording.

29. The specialized agency of the United Nations (UN) responsible for issues that concern information and communication technologies is

- A. International Telecommunications Union
- B. International Telecommunication Union ✓**
- C. Institute of Electrical and Electronics Engineers
- D. Institute of Electrical and Electronic Engineers
- E. World Trade Organization

Answer: B. International Telecommunication Union

Insight: The UN's ICT agency is the International Telecommunication Union (ITU) — the official name uses the singular 'Telecommunication' (option a's plural 'Telecommunications' is the trap).

30. Which of these sectors standardizes global telecommunications (except for radio)?

- A. ITU-R
- B. ITU-T ✓**
- C. ITU-D
- D. ITU-S
- E. None of the above

Answer: B. ITU-T

Insight: ITU-T (Standardization) 'standardizes global telecommunications (except for radio)'; radio is ITU-R's job.

34. [stem reconstructed] The gap between those who have access to modern information and communication technologies and those who do not is referred to as the _____.

A. digital divide ✓

B. digital dividend

C. white space

D. spectral efficiency

E. None of the above

Answer: A. digital divide

Insight: Inferred (standard): the digital divide is the gap between those who have access to modern ICT and those who do not. (Stem was cut off in the photo.) Don't confuse it with the digital dividend (Q39).

35. Which one of the following does NOT occur in perfect competition?

A. There are many buyers.

B. Firms and buyers are completely informed about the prices of the products of each firm in the industry.

C. There are significant restrictions on entry into the industry. ✓

D. Firms already in the industry have no advantage over potential new entrants.

E. No single firm can exert a significant influence on the price of the good.

Answer: C. There are significant restrictions on entry into the industry.

Insight: Perfect competition has free entry, so 'significant restrictions on entry' does NOT occur. The other options (many buyers, perfect information, no incumbent advantage, price-taking) all do occur.

36. What type of rule is being applied if a regulator states, 'You must not indulge in anti-competitive practice', but determines whether a breach has taken place after the event?

A. ex-parte

B. ex-ante

C. ex-post ✓

D. Audi alteram partem

E. nemo iudex in sua causa debet esse

Answer: C. ex-post

Insight: Determining whether a breach occurred AFTER the event is ex-post regulation (ex post = 'after some issues have already occurred').

37. Two linear equations A and B represent two supply curves. A has a slope of 2 while B has a slope of 3. Which of the two equations represent a more elastic supply?

A. A ✓

B. B

C. All of the above

D. None of the above

E. Cannot be determined

Answer: A. A

Insight: Under the usual convention a flatter supply curve (smaller slope in the price–quantity plane) is more elastic, so A (slope 2) is taken as more elastic than B (slope 3). NB: strictly, slope alone doesn't fix supply elasticity (it also depends on the intercept / reference price), so verify the intended answer.

38. All of the following are universal access policy objectives EXCEPT

A. To permit full participation in 21st Century society

B. To promote national political, economic and cultural cohesion

C. To allocate scarce resources ✓

D. To promote economic development

E. None of the above

Answer: C. To allocate scarce resources

Insight: Allocating scarce resources (spectrum, numbers, rights of way) is a licensing/regulatory objective, not a universal-access objective — so it is the exception here.

39. Which of the following refers to the radio spectrum released in the process of digital television transition?

- A. digital divide
- B. digital dividend ✓**
- C. white space
- D. spectral efficiency
- E. None of the above

Answer: B. digital dividend

Insight: The digital dividend is the spectrum freed up when broadcasting switches from analogue to digital TV. (Contrast the digital divide, Q34.)

40. In industries with _____, market forces are allowed to work with no external intervention.

- A. co-regulation
- B. zero regulation ✓**
- C. formal regulation
- D. self-regulation
- E. None of the above

Answer: B. zero regulation

Insight: The deck's exact sentence: 'In industries with zero regulation (no regulation), market forces are allowed to work with no external intervention.'

41. The availability of affordable communications services for all citizens within the community in which they live but not necessarily on an individual basis is _____.

- A. Universal Access ✓**
- B. Universal Achievement
- C. Universal Assess
- D. Universal Service
- E. None of the above

Answer: A. Universal Access

Insight: Universal Access = availability on a shared/community basis (not necessarily to each individual). 'Within the community ... not necessarily on an individual basis' → Universal Access. (Compare Q5.)

42. The principle _____ ensures that no person can judge a case in which they have an interest.

- A. ex-parte
- B. ex-ante
- C. ex-post
- D. Audi alteram partem
- E. nemo judex in sua causa debet esse ✓**

Answer: E. nemo judex in sua causa debet esse

Insight: 'No one should be a judge in their own cause' is the maxim nemo judex in sua causa debet esse — the rule against bias ('justice must be seen to be done').

43. Which of these types of economies is vulnerable to managerial corruption?

- A. Traditional
- B. Command ✓**
- C. Market
- D. All of the above
- E. None of the above

Answer: B. Command

Insight: The deck: the command economy 'fails because of ... vulnerability to managerial corruption' (and the intractable complexity of central control).

44. Price ceilings are imposed to increase price above the free market equilibrium price.

- A. TRUE
- B. FALSE ✓**

Answer: B. FALSE

Insight: A price ceiling holds the price BELOW equilibrium (a maximum price); it is a price FLOOR that keeps price above equilibrium. So the statement is FALSE.

45. The maxim 'hear the other side' is expressed in Latin as

- A. ex-parte
- B. ex-ante
- C. ex-post
- D. Audi alteram partem ✓**
- E. nemo iudex in sua causa debet esse

Answer: D. Audi alteram partem

Insight: 'Hear the other side' is the maxim audi alteram partem — the fair-hearing rule.

46. Perfect competition occurs in a market where there are many firms each selling

- A. a unique product
- B. a capital intensive product
- C. a similar product
- D. an identical product ✓**
- E. a competitive product

Answer: D. an identical product

Insight: Perfect competition requires that 'the goods offered for sale are all exactly the same' — i.e. an identical (homogeneous) product.

47. If a price increase of good A increases the quantity demanded of good B, then good B is a

- A. substitute good ✓**
- B. complementary good
- C. inferior good
- D. normal good

Answer: A. substitute good

Insight: If A's price rises and B's quantity demanded rises, buyers are switching from A to B — they are substitutes (positive cross-price relationship).

48. Which form of regulation establishes a common and legally enforceable platform for all businesses within a sector?

- A. Competition regulation
- B. Public policy regulation
- C. Business regulation
- D. Technical standardisation ✓**
- E. Business standardisation

Answer: D. Technical standardisation

Insight: Technical standardisation 'establishes a common and legally enforceable platform for all businesses within a sector' — the deck's exact definition.

49. In a de-regulated industry, market forces are allowed to work with no external intervention.

- A. TRUE ✓**
- B. FALSE

Answer: A. TRUE

Insight: The deck equates the terms: 'industries with zero regulation ... are also said to be completely deregulated (i.e. regulation has been completely removed),' with market forces working with no external intervention. So this reads as TRUE. (The exam sheet circled FALSE — treat with care and confirm.)

50. _____ regulation states, in advance, a rule that a company must obey.

- A. ex-parte
- B. ex-ante ✓**
- C. ex-post
- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: B. ex-ante

Insight: A rule stated in advance that a company must obey is ex-ante regulation (ex ante = 'before certain issues arise').

51. Which type of regulation is vulnerable to role ambiguity among the different actors in an industry?

A. co-regulation ✓

- B. zero regulation
- C. formal regulation
- D. self-regulation
- E. None of the above

Answer: A. co-regulation

Insight: The deck: 'co-regulation is vulnerable to role ambiguity and the differing player perceptions of what the others will do.'

52. Which of the following types of licences are used primarily where there is likely to be market dominance?

A. Individual operator licences ✓

- B. Class licences
- C. Intermediate licences
- D. Consultative licences
- E. None of the above

Answer: A. Individual operator licences

Insight: Individual operator licences are used 'primarily where ... there is likely to be market dominance' (also limited licences / specific spectrum) — the deck's exact wording.

53. Which of the following best describe(s) guidelines? (I) They are informal documents. (II) They are drafted in legal language.

A. I only ✓

- B. II only
- C. Both I and II
- D. None of the above

Answer: A. I only

Insight: 'Guidelines are informal documents that do not ... possess a legal status' and are 'usually presented in user-friendly language'. So (I) is true and (II) is false — legal language is used for determinations/consents, not guidelines.

54. Characteristics of _____ include the removal of exclusive rights from monopoly firms and award of licences for all new services on a competitive basis.

- A. regulation
- B. privatization
- C. liberalization ✓**
- D. de-regulation
- E. reformation

Answer: C. liberalization

Insight: Liberalization = 'the removal of exclusive rights from the former monopoly ... and the award of licences for all new services on a competitive basis' — the deck's exact description.

55. _____ refers to the intervention by governments in those markets in order to achieve certain outcomes.

A. regulation ✓

- B. privatization
- C. liberalization
- D. de-regulation
- E. policy

Answer: A. regulation

Insight: Regulation 'refers to the intervention by governments in markets in order to achieve certain outcomes' — the deck's exact definition.

56. A market can accurately be described as

- A. a place to buy things

- B. a place to sell things
- C. the process by which prices adjust to reconcile the allocation of resources
- D. a place where buyers and sellers meet ✓**

Answer: D. a place where buyers and sellers meet

Insight: The deck defines a market as 'a group of buyers and sellers of a particular good or service' — i.e. where buyers and sellers meet. (The 2018 mid-sem answer key marks (d) 'a place where buyers and sellers meet'.)

57. The area within the Access Model which captures high population density and higher-income citizens which have historically been well served is referred to as the

- A. True Access Gap
- B. Current Network Reach and Access ✓**
- C. Smart Subsidy Zone
- D. Market Efficiency Gap
- E. None of the above

Answer: B. Current Network Reach and Access

Insight: 'Current Network Reach and Access' is the already-well-served area (high density, higher income) that the market has already reached.

58. _____ regulation gives regulation its power to react reasonably in unforeseen circumstances.

- A. ex-parte
- B. ex-ante
- C. ex-post ✓**
- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: C. ex-post

Insight: Reacting reasonably to unforeseen circumstances is ex-post regulation — you respond after events occur, unlike fixed ex-ante rules.

59. In the mixed economy

- A. economic problems are solved by the government and market ✓**
- B. economic decisions are made by the private sector and free market
- C. economic allocation is achieved by the 'invisible hand'
- D. economic questions are solved by government departments

Answer: A. economic problems are solved by the government and market

Insight: A mixed economy blends command and market: 'Command measures, blended with market economies, create the mixed economies,' with governments intervening to correct market failure.

60. Which of the following is NOT a widely accepted regulatory objective in the telecommunication sector?

- A. Foster competitive markets to promote local entrepreneurial initiative ✓**
- B. Protect consumer rights, including privacy rights
- C. Promote universal access to basic telecommunications services
- D. Optimize use of scarce resources
- E. Create a favourable climate to promote investment to expand telecommunications networks

Answer: A. Foster competitive markets to promote local entrepreneurial initiative

Insight: The deck's widely-accepted objectives foster competitive markets to promote efficient supply, quality, advanced services and efficient prices — NOT 'local entrepreneurial initiative'. The other four options are listed objectives verbatim, so (a) is the odd one out.

Set 2 - Deck-based practice questions

1. According to the Law of Demand, other things being equal, when the price of a good rises, the quantity demanded of that good

- A. rises
- B. falls ✓**

- C. stays exactly the same
- D. rises then falls
- E. None of the above

Answer: B. falls

Insight: Law of Demand: 'when the price of a good rises, the quantity demanded of the good falls, and when the price falls, the quantity demanded rises.'

2. Which of the following would shift the demand curve rather than cause a movement along it?

- A. a change in the good's own price
- B. a change in consumers' income ✓**
- C. a change in the quantity supplied
- D. a change in the equilibrium quantity
- E. None of the above

Answer: B. a change in consumers' income

Insight: The deck lists demand-curve shifters as income, prices of related goods, taste, expectations and the number of buyers. A change in the good's own price is a movement along the curve, not a shift.

3. According to the Law of Supply, when the price of a good rises, the quantity supplied of the good also rises.

- A. TRUE ✓**
- B. FALSE

Answer: A. TRUE

Insight: Law of Supply: 'when the price of a good rises, the quantity supplied of the good also rises, and when the price falls, the quantity supplied falls as well.'

4. All of the following can shift the supply curve EXCEPT

- A. input prices
- B. technology
- C. the price of the good itself ✓**
- D. the number of sellers
- E. expectations

Answer: C. the price of the good itself

Insight: Supply-curve shifters are input prices, technology, expectations and the number of sellers. A change in the good's own price is a movement along the supply curve, not a shift.

5. The single point at which the supply and demand curves intersect gives the

- A. ceiling price
- B. equilibrium price ✓**
- C. floor price
- D. reservation price
- E. None of the above

Answer: B. equilibrium price

Insight: 'Equilibrium is the one point at which the supply and demand curves intersect. The price at this intersection is called the equilibrium price.'

6. A government intervention that keeps a price below its market equilibrium is called a price

- A. floor
- B. ceiling ✓**
- C. band
- D. peg
- E. None of the above

Answer: B. ceiling

Insight: 'Prices below the market equilibrium ... such policy interventions are called price ceilings, because they prevent the price from rising as high as it may have gone.'

7. A price floor is a government control that keeps the price _____ its market equilibrium value.

- A. below
- B. above ✓**
- C. equal to
- D. independent of
- E. None of the above

Answer: B. above

Insight: 'The opposite [of a ceiling] is a price floor, by which the government keeps the price above its market equilibrium value.'

8. _____ refers to how the burden of a tax is distributed among the various people who make up the economy.

- A. Tax incidence ✓**
- B. Tax elasticity
- C. Tax equilibrium
- D. Tax neutrality
- E. None of the above

Answer: A. Tax incidence

Insight: 'Tax incidence refers to how the burden of a tax is distributed among the various people who make up the economy.'

9. In a _____ economy, a powerful agent (usually the government) determines what people will produce, earn and consume.

- A. traditional
- B. command ✓**
- C. market
- D. mixed
- E. None of the above

Answer: B. command

Insight: 'In a command economy a powerful agent (usually the government) determines what people will produce, earn and consume.'

10. Which type of economy is typical of tribal societies, where economic affairs follow a customary pattern and local leaders have the final say on allocation?

- A. Market
- B. Command
- C. Traditional ✓**
- D. Mixed
- E. None of the above

Answer: C. Traditional

Insight: 'Traditional economies are typical of tribal societies ... economic affairs follow a customary pattern ... local leaders have the ultimate say in matters of allocation.'

11. Twentieth-century experience shows the command economy fails because of (I) the intractable complexity of the control task (II) vulnerability to managerial corruption.

- A. I only
- B. II only
- C. Both I and II ✓**
- D. Neither I nor II

Answer: C. Both I and II

Insight: 'The deck gives both: the command economy 'fails because of the intractable complexity of the control task [and] vulnerability to managerial corruption.'

12. For a market to be perfectly competitive, the goods offered for sale must be

- A. branded and differentiated
- B. all exactly the same ✓**
- C. of varying quality
- D. protected by patents

E. None of the above

Answer: B. all exactly the same

Insight: Under perfect competition 'the goods offered for sale are all exactly the same', and no single buyer or seller has any influence over the market price.

13. A firm that has no competitors in its industry is called a

A. monopsony

B. monopoly ✓

C. oligopoly

D. cartel

E. None of the above

Answer: B. monopoly

Insight: 'A firm that has no competitors in its industry is called a monopoly.'

14. A _____ monopoly exists when a single firm can supply a good to an entire market at a lower cost than could two or more firms.

A. legal

B. natural ✓

C. temporary

D. statutory

E. None of the above

Answer: B. natural

Insight: 'An industry is a natural monopoly when a single firm can supply a good or service to an entire market at a lower cost than could two or more.'

15. Which of the following is cited as an example of a natural monopoly?

A. water supply

B. power distribution

C. telecommunications

D. All of the above ✓

E. None of the above

Answer: D. All of the above

Insight: 'Examples of natural monopolies include water supply, power distribution, telecommunications.'

16. Governments deliberately create monopolies by issuing _____, which give inventors the right to sell and market their inventions.

A. licences

B. patents ✓

C. subsidies

D. tariffs

E. None of the above

Answer: B. patents

Insight: 'Governments issue patents, which give monopoly rights to inventors to sell and market their inventions.'

17. The process of transition from a monopoly market to a competitive one is called

A. privatization

B. liberalization ✓

C. standardization

D. commercialization

E. None of the above

Answer: B. liberalization

Insight: 'Liberalization ... represents the process of transition from a monopoly market to a competitive one.'

18. The transfer of ownership of a business from the state to the private sector is called

A. liberalization

B. privatization ✓

C. regulation

- D. nationalization
- E. None of the above

Answer: B. privatization

Insight: 'Privatization ... is the transfer of ownership of a business from the state to the private sector.'

19. The former monopoly fixed-network operator, from which exclusive rights are removed during liberalization, is usually called the

A. incumbent ✓

- B. entrant
- C. licensee
- D. regulator
- E. None of the above

Answer: A. incumbent

Insight: Liberalization means 'the removal of exclusive rights ... from the former monopoly fixed network operator, which is often called the incumbent.'

20. Before the 1980s, telecommunications services were provided mainly by

- A. private start-ups
- B. state-owned monopolies ✓**
- C. foreign investors
- D. competitive markets
- E. None of the above

Answer: B. state-owned monopolies

Insight: 'The Telecommunication Sector before the 1980s: Telecoms services were provided by state-owned monopolies.'

21. The principal focus of contemporary regulation of the telecommunications services industry is the creation, nourishment and maintenance of

- A. state monopolies
- B. competitive markets ✓**
- C. fixed retail prices
- D. universal ownership
- E. None of the above

Answer: B. competitive markets

Insight: 'The principal focus for contemporary regulation of the telecommunications services industry is the creation, nourishment and maintenance of competitive markets.'

22. Which basic form of regulation seeks to create and maintain fair competitive relationships between businesses, and between businesses and consumers?

- A. Technical standardization
- B. Public policy regulation
- C. Competition regulation ✓**
- D. Self-regulation
- E. None of the above

Answer: C. Competition regulation

Insight: 'Competition regulation ... seeks to create and maintain fair competitive relationships between businesses, and between businesses and consumers.'

23. Public policy regulation seeks to achieve objectives because they are believed to be in the

- A. interest of operators
- B. public interest ✓**
- C. regulator's interest
- D. global interest
- E. None of the above

Answer: B. public interest

Insight: 'Public policy regulation ... seeks to achieve objectives because they are believed to be in the public interest.'

24. Policy-making is primarily a matter of _____ decision-making, whereas regulation is much more technocratic.

- A. technical
- B. political ✓**
- C. judicial
- D. commercial
- E. None of the above

Answer: B. political

Insight: 'Whereas policy making is primarily a matter of political decision making, regulation is much more technocratic.'

25. Which of the following is NOT listed among the principles of good regulatory decision-making?

- A. Transparency
- B. Objectivity
- C. Secrecy ✓**
- D. Efficiency
- E. Independence

Answer: C. Secrecy

Insight: The principles listed are Transparency, Objectivity, Professionalism, Efficiency and Independence. Secrecy is not among them — transparency is its opposite.

26. The two 'fundamental rules' of procedural fairness noted in the deck are audi alteram partem and

- A. nemo judex in sua causa debet esse ✓**
- B. res ipsa loquitur
- C. caveat emptor
- D. pacta sunt servanda
- E. None of the above

Answer: A. nemo judex in sua causa debet esse

Insight: The two fundamental rules are audi alteram partem ('hear the other side') and 'do not be a judge in your own case' — nemo judex in sua causa debet esse.

27. The main instruments of regulation include authorizations, rules, determinations, consents and

- A. guidelines ✓**
- B. statutes
- C. patents
- D. tariffs
- E. None of the above

Answer: A. guidelines

Insight: 'The main instruments of regulation include authorizations, rules, determinations, consents and guidelines.'

28. Which international organization regulates international trade and issued the Reference Paper on Regulation?

- A. ITU
- B. WTO ✓**
- C. ATU
- D. WATRA
- E. None of the above

Answer: B. WTO

Insight: 'The World Trade Organization (WTO) is an inter-governmental organization which regulates international trade,' and its agreement includes a Reference Paper on Regulation.

29. Adherence to how many basic principles does the WTO Reference Paper on Regulation require?

- A. three
- B. four
- C. six ✓**
- D. ten
- E. None of the above

Answer: C. six

Insight: 'They require adherence to six basic principles' — e.g. an independent regulator, anti-competitive safeguards, transparent licensing, interconnection, neutral universal-access obligations, and fair allocation of scarce resources.

30. The WTO Reference Paper says a telecoms regulator should be independent of operating companies, but not necessarily of

- A. governments ✓**
- B. consumers
- C. the ITU
- D. the courts
- E. None of the above

Answer: A. governments

Insight: 'Telecoms regulators should be independent of operating companies (but not necessarily of governments).'

31. The International Telecommunication Union (ITU) is a specialized agency of the

- A. European Union
- B. United Nations ✓**
- C. African Union
- D. World Bank
- E. None of the above

Answer: B. United Nations

Insight: 'ITU is a specialized agency of the United Nations (UN) responsible for issues that concern information and communication technologies.'

32. Which of the following is NOT one of the three sectors of the ITU?

- A. ITU-R
- B. ITU-T
- C. ITU-D
- D. ITU-S ✓**
- E. None of the above

Answer: D. ITU-S

Insight: The ITU has three sectors: Radiocommunication (ITU-R), Standardization (ITU-T) and Development (ITU-D). There is no 'ITU-S'.

33. Which body is the West African Telecommunications Regulators Association?

- A. ATU
- B. WATRA ✓**
- C. ECOWAS
- D. ITU-D
- E. None of the above

Answer: B. WATRA

Insight: The deck lists international bodies including the 'West African Telecommunications Regulators Association (WATRA)'.

34. Which regulatory style is the LEAST intrusive?

- A. Formal regulation
- B. Co-regulation
- C. Self-regulation
- D. Zero regulation ✓**
- E. None of the above

Answer: D. Zero regulation

Insight: In increasing order of intrusiveness the styles are zero regulation, self-regulation, co-regulation, then formal (external) regulation — so zero regulation is least intrusive.

35. Which regulatory style is the MOST intrusive (most severe)?

- A. Zero regulation
- B. Self-regulation
- C. Co-regulation
- D. Formal regulation ✓**
- E. None of the above

Answer: D. Formal regulation

Insight: The order of increasing severity is zero → self → co → formal regulation, so formal (external) regulation is the most intrusive.

36. Pure _____ applies when the players in an industry regulate themselves.

- A. co-regulation
- B. self-regulation ✓**
- C. zero regulation
- D. formal regulation
- E. None of the above

Answer: B. self-regulation

Insight: 'Pure self-regulation applies when the players in an industry regulate themselves.'

37. Which of the following is given as a benefit of self-regulation?

- A. companies usually know their businesses better than an external regulator ✓**
- B. it shifts regulatory costs onto taxpayers
- C. it works best when commercial conflicts are strong
- D. it removes the industry's need for a watchdog
- E. None of the above

Answer: A. companies usually know their businesses better than an external regulator

Insight: Benefits listed include that 'companies usually know their businesses better than an external regulator', and that internalizing regulation minimizes the costs ultimately borne by industry and consumers.

38. Self-regulation is most effective when there is

- A. strong commercial conflict between players
- B. high convergence of interest between stakeholders ✓**
- C. an absence of any shared interest
- D. frequent litigation
- E. None of the above

Answer: B. high convergence of interest between stakeholders

Insight: Self-regulation is 'most effective when there is high convergence of interest between stakeholders [and] least effective when there are strong commercial conflicts.'

39. Which style is a hybrid in which the regulator joins the industry players in a joint forum instead of regulating purely from outside?

- A. Zero regulation
- B. Self-regulation
- C. Co-regulation ✓**
- D. Formal regulation
- E. None of the above

Answer: C. Co-regulation

Insight: 'Co-regulation is a hybrid option ... [where] the regulator joins the industry players to work with them, as a participant in a joint forum.'

40. Co-regulation blends together which two styles of regulation?

- A. zero and formal regulation
- B. formal and self-regulation ✓**

- C. self and zero regulation
- D. traditional and command regulation
- E. None of the above

Answer: B. formal and self-regulation

Insight: 'Co-regulation ... blends formal and self-regulation together.'

41. Intrusion can be lessened by using ex-post rules and by regulating _____ instead of individual prices.

- A. price floors
- B. price baskets ✓**
- C. retail tariffs
- D. spectrum fees
- E. None of the above

Answer: B. price baskets

Insight: 'Intrusion can be lessened by the use of ex-post rules and by regulating price baskets instead of individual prices.'

42. Good regulation should be _____ rather than intrusive, allowing operators to manage their own affairs within the spirit of the regulation.

- A. minimal
- B. pervasive ✓**
- C. invisible
- D. punitive
- E. None of the above

Answer: B. pervasive

Insight: 'Regulation should be pervasive rather than intrusive, to allow operators to manage their affairs, as they know best but within the spirit of the regulation.'

43. Fundamental to any system of regulation is a system of _____, where an undertaking needs permission to participate in a regulated market.

- A. enforcement
- B. authorization ✓**
- C. consultation
- D. adjudication
- E. None of the above

Answer: B. authorization

Insight: 'Fundamental to any system of regulation is a system of authorization, where an undertaking needs permission to participate in a regulated market.'

44. A _____ is a negative determination by which an authorized operator is formally relieved from the need to comply with a requirement.

- A. guideline
- B. consent ✓**
- C. licence
- D. rule
- E. None of the above

Answer: B. consent

Insight: 'A consent is a negative determination by which an authorized operator is formally relieved from the need to comply with a requirement.'

45. Because they have legal force, determinations and consents are drafted in _____ language.

- A. user-friendly
- B. legal ✓**
- C. technical
- D. plain
- E. None of the above

Answer: B. legal

Insight: 'Because they have legal force, determinations and consents are drafted in legal language' — unlike guidelines, which are user-friendly.

46. All of the following are typical stages in a regulatory consultation EXCEPT

- A. notification and invitations to contribute
- B. publication of consultation papers
- C. conduct of consultative meetings
- D. issue of a memorandum with the final instruments
- E. immediate revocation of an operator's licence ✓**

Answer: E. immediate revocation of an operator's licence

Insight: Consultation stages are notification/invitations, publication of consultation papers, consultative meetings (with iteration), and a memorandum with the final legal instruments. Licence revocation is an enforcement action, not a consultation stage.

47. Companies pay for licences through upfront fees and _____ payments.

- A. one-time
- B. annual ✓**
- C. hourly
- D. voluntary
- E. None of the above

Answer: B. annual

Insight: 'Companies pay fees for licenses, which may include both upfront fees, when a license is awarded, and annual payments.'

48. A licence that does not tie an operator to a specific technology or service is described as a _____ licence.

- A. class
- B. technology- and service-neutral ✓**
- C. provisional
- D. spectrum
- E. None of the above

Answer: B. technology- and service-neutral

Insight: 'Some regulators have ... moved towards technology- and service-neutral licensing,' e.g. permitting a telephone service without specifying a fixed or wireless technology.

49. Licence conditions that establish a 'level playing field' and limit an incumbent's abuse of a dominant position are generally referred to as

- A. universal service obligations
- B. anti-competitive safeguards ✓**
- C. spectrum caps
- D. interconnection charges
- E. None of the above

Answer: B. anti-competitive safeguards

Insight: Such conditions 'are generally referred to in licenses as "anti-competitive safeguards" or "fair trading conditions".'

50. Which of the following is NOT one of the finite (scarce) resources used in operating a telecommunications service?

- A. radio spectrum
- B. telephone numbers
- C. rights of way
- D. customer goodwill ✓**
- E. None of the above

Answer: D. customer goodwill

Insight: The finite/scarce resources listed are radio spectrum, numbers and rights of way. 'Customer goodwill' is not one of them.

Set 3 - TE 462 Mid-Semester exam (March 2018)

1. WTO aims at

- A. establishing rules for domestic trade
- B. restricting trade practices
- C. liberalising international trade ✓**
- D. encouraging entrepreneurs
- E. None of the above

Answer: C. liberalising international trade

Insight: 'The WTO ... regulates international trade,' opening telecom markets to competition and investment — it liberalises international (not domestic) trade.

2. All the following are rules or guidelines contained in the WTO Reference Paper on Regulation EXCEPT

- A. There should be a regulatory body independent of governments and operating companies ✓**
- B. Licensing criteria should be publicly available and transparent
- C. The regulator should allocate scarce resources fairly between operators
- D. Regulation should provide for interconnection between major operators
- E. None of the above

Answer: A. There should be a regulatory body independent of governments and operating companies

Insight: The Reference Paper requires a regulator 'independent of operating companies (but not necessarily of governments)'. So requiring independence from governments as well overstates it — that option is the exception; (b), (c) and (d) are genuine Reference-Paper principles.

3. Characteristics of _____ include the removal of exclusive rights from monopoly firms and award of licences for all new services on a competitive basis.

- A. regulation
- B. privatization
- C. liberalization ✓**
- D. de-regulation
- E. reformation

Answer: C. liberalization

Insight: Liberalization = 'the removal of exclusive rights from the former monopoly ... and the award of licences for all new services on a competitive basis.'

4. In a de-regulated industry, market forces are allowed to work with no external intervention.

- A. TRUE ✓**
- B. FALSE

Answer: A. TRUE

Insight: The deck equates the terms: 'industries with zero regulation ... are also said to be completely deregulated (i.e. regulation has been completely removed),' with no external intervention. (The mid-sem key left this un-highlighted, so confirm with your lecturer.)

5. The process of transition from a monopoly market to a competitive one is referred to as _____.

- A. regulation
- B. privatization
- C. liberalization ✓**
- D. de-regulation
- E. reformation

Answer: C. liberalization

Insight: 'Liberalization ... represents the process of transition from a monopoly market to a competitive one.'

6. Two linear equations A and B represent two supply curves. A has a slope of 2 while B has a slope of 3. Which of the two equations represent a more elastic supply?

- A. A ✓**

- B. B
- C. All of the above
- D. None of the above
- E. Cannot be determined

Answer: A. A

Insight: Under the usual convention a flatter supply curve (smaller slope in the price–quantity plane) is more elastic, so A (slope 2) is taken as more elastic than B. NB: slope alone doesn't strictly fix supply elasticity — the mid-sem key left this un-highlighted, so verify the intended answer.

7. The following are instruments of regulation EXCEPT

- A. regulations
- B. resolutions
- C. decisions
- D. policies

E. None of the above ✓

Answer: E. None of the above

Insight: The decks list regulations, decisions, policies AND resolutions all as regulatory instruments, so every option is an instrument and none is the exception.

8. _____ refers to the intervention by governments in markets in order to achieve certain outcomes in those markets.

- A. regulation ✓**
- B. privatization
- C. liberalization
- D. de-regulation
- E. policy

Answer: A. regulation

Insight: 'Regulation ... refers to the intervention by governments in markets in order to achieve certain outcomes in those markets.'

9. Supply is the quantity of a good sellers wish to sell each time the market opens.

- A. TRUE
- B. FALSE ✓**

Answer: B. FALSE

Insight: FALSE. Supply is the whole price–quantity relationship (the supply schedule / curve), not one fixed amount. The deck calls the amount sellers will sell at a given price the 'quantity supplied'. (Highlighted FALSE in the mid-sem key.)

10. Which form of regulation establishes a common and legally enforceable platform for all businesses within a sector?

- A. Competition regulation
- B. Public policy regulation
- C. Business regulation
- D. Technical standardisation ✓**
- E. Business standardisation

Answer: D. Technical standardisation

Insight: 'Technical standardisation ... establishes a common and legally enforceable platform for all businesses within a sector.'

11. A market can accurately be described as

- A. a place to buy things
- B. a place to sell things
- C. the process by which prices adjust to reconcile the allocation of resources
- D. a place where buyers and sellers meet ✓**

Answer: D. a place where buyers and sellers meet

Insight: The deck defines a market as 'a group of buyers and sellers of a particular good or service' — i.e. where buyers and sellers meet. (Highlighted (d) in the mid-sem key.)

12. _____ regulation states, in advance, a rule that a company must obey.

- A. ex-parte
- B. ex-ante ✓**
- C. ex-post
- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: B. ex-ante

Insight: A rule stated in advance that a company must obey is ex-ante regulation (ex ante = 'before certain issues arise').

13. Which one of the following does NOT occur in perfect competition?

- A. There are many buyers.
- B. Firms and buyers are completely informed about the prices of the products of each firm in the industry.
- C. There are significant restrictions on entry into the industry. ✓**
- D. Firms already in the industry have no advantage over potential new entrants.
- E. No single firm can exert a significant influence on the market price of the good.

Answer: C. There are significant restrictions on entry into the industry.

Insight: Perfect competition has free entry, so 'significant restrictions on entry' does NOT occur; the other options all do.

14. An increase in consumer income will increase demand for a/an _____ but decrease demand for a/an _____.

- A. substitute good, inferior good
- B. normal good, inferior good ✓**
- C. inferior good, normal good
- D. normal good, complementary good

Answer: B. normal good, inferior good

Insight: For a normal good, demand rises as income rises; for an inferior good, demand falls as income rises. So income up → more of a normal good, less of an inferior good.

15. The factors that encouraged the monopoly paradigm in the telecommunication sector can be categorized as

- A. social, political and economic
- B. political and economic ✓**
- C. social and political
- D. social and economic
- E. None of the above

Answer: B. political and economic

Insight: The deck names exactly two factors behind the state-monopoly era: Economic (natural monopoly) and Political (state control). 'Social' is not listed.

16. Which of the following is NOT a widely accepted regulatory objective in the telecommunication sector?

- A. Foster competitive markets to promote local entrepreneurial initiative ✓**
- B. Protect consumer rights, including privacy rights
- C. Promote universal access to basic telecommunications services
- D. Optimize use of scarce resources
- E. Create a favourable climate to promote investment to expand telecommunications networks

Answer: A. Foster competitive markets to promote local entrepreneurial initiative

Insight: The deck's objective is to foster competitive markets to promote efficient supply, quality, advanced services and efficient prices — NOT 'local entrepreneurial initiative'. The other four are listed objectives verbatim.

17. What type of rule is referred to as 'common sense' regulation?

- A. ex-parte
- B. ex-ante
- C. ex-post ✓**

- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: C. ex-post

Insight: Inferred: 'common-sense' regulation best fits ex-post — general principles applied with judgment after the fact. NB: the phrase is not verbatim in the decks and the mid-sem key left it un-highlighted, so confirm with your lecturer.

18. The mission of the UN specialized agency responsible for issues concerning information and communication technologies includes all of the following EXCEPT

- A. coordinating the shared global use of the radio spectrum
- B. promoting international cooperation in assigning satellite orbits
- C. working to improve telecommunication infrastructure in the developing world
- D. assisting in the development and coordination of worldwide technical standards

E. None of the above ✓

Answer: E. None of the above

Insight: The deck gives the ITU mission as exactly these four, so all are included and none is the exception.

19. Perfect competition occurs in a market where there are many firms each selling

- A. a unique product
- B. a capital intensive product
- C. a similar product

D. an identical product ✓

- E. a competitive product

Answer: D. an identical product

Insight: Under perfect competition 'the goods offered for sale are all exactly the same' — i.e. an identical (homogeneous) product.

20. The maxim 'hear the other side' is expressed in Latin as

- A. ex-parte
- B. ex-ante
- C. ex-post
- D. Audi alteram partem ✓**
- E. nemo iudex in sua causa debet esse

Answer: D. Audi alteram partem

Insight: 'Hear the other side' is the maxim audi alteram partem — the fair-hearing rule.

21. Which of these entities is responsible for policy implementation in the telecommunication sector in most developed market economies?

- A. The ministry in charge of the telecommunication sector
- B. The national telecommunication regulator ✓**
- C. Mobile network operators
- D. The courts of law
- E. The police

Answer: B. The national telecommunication regulator

Insight: Policy-making is the ministry's (political) role; 'regulation focuses on translating the objectives of policy decisions into practical measures' — so the independent national regulator implements policy. (Un-highlighted in the key.)

22. Which of the following is FALSE about an industry with one monopoly firm?

- A. Higher prices are experienced
- B. Supply is low
- C. Production is inefficient
- D. Inferior goods are produced ✓**
- E. None of the above

Answer: D. Inferior goods are produced

Insight: The deck lists exactly three monopoly harms: lower output (low supply), higher price, and less-efficient/higher-cost production. 'Inferior goods are produced' is not one of them — so it is the false statement.

23. Which of these sectors manages the international radio frequency spectrum and satellite orbit resources?

A. ITU-R ✓

B. ITU-T

C. ITU-D

D. ITU-S

E. None of the above

Answer: A. ITU-R

Insight: 'ITU-R (Radiocommunication) ... manages the international radio frequency spectrum and satellite orbit resources.'

24. _____ regulation gives regulation its power to react reasonably in unforeseen circumstances.

A. ex-parte

B. ex-ante

C. ex-post ✓

D. Audi alteram partem

E. nemo iudex in sua causa debet esse

Answer: C. ex-post

Insight: Reacting reasonably to unforeseen circumstances is ex-post regulation — you respond after events occur, unlike fixed ex-ante rules.

25. In the mixed economy

A. economic problems are solved by the government and market ✓

B. economic decisions are made by the private sector and free market

C. economic allocation is achieved by the 'invisible hand'

D. economic questions are solved by government departments

Answer: A. economic problems are solved by the government and market

Insight: A mixed economy blends command and market: 'Command measures, blended with market economies, create the mixed economies,' with governments intervening to correct market failure.

26. Which of these sectors helps spread equitable, sustainable and affordable access to information and communication technologies (ICT)?

A. ITU-R

B. ITU-T

C. ITU-D ✓

D. ITU-S

E. None of the above

Answer: C. ITU-D

Insight: 'ITU-D (Development) ... helps spread equitable, sustainable and affordable access to information and communication technologies (ICT).'

27. The specialized agency of the United Nations (UN) responsible for issues that concern information and communication technologies is

A. International Telecommunications Union

B. International Telecommunication Union ✓

C. Institute of Electrical and Electronics Engineers

D. Institute of Electrical and Electronic Engineers

E. World Trade Organization

Answer: B. International Telecommunication Union

Insight: The UN's ICT agency is the International Telecommunication Union (ITU) — note the official name uses the singular 'Telecommunication'.

28. Which of these types of economies is vulnerable to managerial corruption?

A. Traditional

B. Command ✓

C. Market

- D. All of the above
- E. None of the above

Answer: B. Command

Insight: The deck: the command economy 'fails because of ... vulnerability to managerial corruption' (and the intractable complexity of central control).

29. The principles of good regulatory decision-making include all of the following EXCEPT

- A. Transparency
- B. Objectivism
- C. Professionalism
- D. All of the above

E. None of the above ✓

Answer: E. None of the above

Insight: Transparency, Objectivity and Professionalism are all listed principles, so none of the three is an exception.

30. A change in price can cause a shift of a demand curve.

- A. TRUE
- B. FALSE ✓**

Answer: B. FALSE

Insight: FALSE. A change in the good's own price is a movement ALONG the demand curve. The curve only shifts when income, prices of related goods, taste, expectations or the number of buyers change.

31. A command economy decides resource allocation by government planning.

- A. TRUE ✓**
- B. FALSE

Answer: A. TRUE

Insight: TRUE. 'In a command economy a powerful agent (usually the government) determines what people will produce, earn and consume.'

32. What type of rules are vulnerable to becoming dated or inappropriate in a fast-moving high technology industry?

- A. ex-parte
- B. ex-ante ✓**
- C. ex-post
- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: B. ex-ante

Insight: Ex-ante rules are fixed in advance, so in a fast-moving high-tech industry they quickly become dated or inappropriate.

33. If a price increase of good A increases the quantity demanded of good B, then good B is a

- A. substitute good ✓**
- B. complementary good
- C. inferior
- D. normal

Answer: A. substitute good

Insight: If A's price rises and B's quantity demanded rises, buyers are switching from A to B — they are substitutes (positive cross-price relationship).

34. What type of rule is being applied if a regulator states, 'You must not indulge in anti-competitive practice', but determines whether a breach has taken place after the event?

- A. ex-parte
- B. ex-ante
- C. ex-post ✓**
- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: C. ex-post

Insight: Determining whether a breach occurred AFTER the event is ex-post regulation (ex post = 'after some issues have already occurred').

35. Opponents of _____ regulation believe that it gives regulators the combined functions of lawmaker, policeman, judge, jury and executioner.

- A. ex-parte
- B. ex-ante ✓**
- C. ex-post
- D. Audi alteram partem
- E. nemo judex in sua causa debet esse

Answer: B. ex-ante

Insight: Inferred: this classic criticism — one body that writes the rules, enforces them and judges breaches — is levelled at ex-ante (prescriptive, sector-specific) regulation, as opposed to ex-post competition law adjudicated by the courts. NB: not stated verbatim in the decks and un-highlighted in the key, so confirm.

36. Price ceilings are imposed to increase price above the free market equilibrium price.

- A. TRUE
- B. FALSE ✓**

Answer: B. FALSE

Insight: FALSE. A price ceiling holds the price BELOW equilibrium (a maximum price); it is a price FLOOR that keeps price above equilibrium.

37. The principle _____ ensures that no person can judge a case in which they have an interest.

- A. ex-parte
- B. ex-ante
- C. ex-post
- D. Audi alteram partem
- E. nemo judex in sua causa debet esse ✓**

Answer: E. nemo judex in sua causa debet esse

Insight: 'No one should be a judge in their own cause' is the maxim nemo judex in sua causa debet esse — the rule against bias.

38. The role of regulators changes as markets become more competitive.

- A. TRUE ✓**
- B. FALSE

Answer: A. TRUE

Insight: TRUE — as competition develops the regulator's role shifts (lighter-touch / more ex-post competition oversight).

39. Which of these sectors standardizes global telecommunications (except for radio)?

- A. ITU-R
- B. ITU-T ✓**
- C. ITU-D
- D. ITU-S
- E. None of the above

Answer: B. ITU-T

Insight: 'ITU-T (Standardization) ... standardizes global telecommunications (except for radio)'; radio is ITU-R's job.

40. By concentrating action on proven grievances rather than on compliance with finely detailed rules, _____ regulation is potentially efficient regulation.

- A. ex-parte
- B. ex-ante
- C. ex-post ✓**
- D. Audi alteram partem
- E. nemo judex in sua causa debet esse

Answer: C. ex-post

Insight: Ex-post regulation acts on proven grievances after the fact instead of via finely detailed pre-set rules; the deck notes 'intrusion can be lessened by the use of ex-post rules.'